

European Cybersecurity Sovereignty by 2035

A two-page strategy brief. Figures are drawn from the accompanying research workbook ('EU_Cybersecurity_Market.xlsx'); sources are listed on its "Sources" sheet.

Page 1 — What Europe Must Do by 2035 to Achieve Cybersecurity Sovereignty

Where Europe starts (2025 baseline). Europe spends roughly USD 50–82 bn a year on cybersecurity, growing 8–14% annually, yet the market is overwhelmingly served by non-European vendors. In network security and firewalls — the backbone segment — the leaders are Palo Alto Networks (~28% share), Fortinet, Cisco (all US) and Check Point (Israel). Microsoft, CrowdStrike, Zscaler and Okta dominate the broader stack. Europe's own champions (Thales, Bitdefender, ESET, WithSecure, Stormshield, Sophos/Darktrace in the UK) are credible but sub-scale: Thales' Cyber & Digital unit is ~EUR 4 bn, while most others sit in the tens-to-hundreds of millions. Committed EU funding is modest — the Digital Europe Programme earmarks only ~EUR 1.37 bn for "Cybersecurity & Trust" across 2021–2027 — against a workforce gap of ~299,000 professionals in the EU. Sovereignty by 2035 therefore requires a deliberate, decade-long industrial strategy, not incremental grants.

1. Mobilise capital at the right scale. Close the gap between aspiration and funding. The EuroStack proposal — a EUR 300 bn European Sovereign Technology Fund over ten years, with an initial EUR 10 bn tranche — is the credible order of magnitude; cybersecurity should be a ring-fenced pillar within it. Pair public money with a deep private market: an EU-wide late-stage growth-capital vehicle so European scale-ups (the EUR 100 m–1 bn "valley of death") stop being acquired by US private equity or listing abroad.

2. Use procurement as demand. The single most powerful lever is guaranteed demand. A "Buy European" framework for strategic digital procurement — public sector, critical infrastructure, defence and NIS2-regulated entities — would give EU vendors a protected home market to reach scale. Mandate sovereignty criteria (EU ownership, EU data residency, source-code escrow, no foreign government access) in tenders for firewalls, SOC/SIEM, identity and cloud security.

3. Build the full sovereign stack, not isolated products. Cyber sovereignty depends on the layers beneath it: trusted semiconductors, sovereign cloud (EUCS high-assurance certification), open-source cryptographic libraries, and post-quantum cryptography migration. Fund European NGFW, MDR/XDR, and SOC platforms so a regulated entity can run an all-European security stack end-to-end by 2035.

4. Consolidate and create champions. The European vendor landscape is fragmented across 27 markets. Encourage mergers and cross-border platforms (e.g. around Thales, Airbus/Stormshield, national MSSPs) to produce two or three vendors with the breadth to compete with platform incumbents. Harmonise certification (one EU scheme, not 27) to remove the cost of fragmentation.

5. Fix the talent pipeline. Money buys tools, not people. Scale the EU Cybersecurity Skills Academy, the European Cybersecurity Skills Framework and a common attestation scheme to halve the ~299,000-person shortfall by 2035 through apprenticeships, reskilling and university capacity.

6. Align regulation with industrial policy. NIS2, DORA and the Cyber Resilience Act already create mandatory demand for security; ensure their implementation rewards European, auditable, sovereign solutions rather than defaulting to incumbent platforms.

Target outcome for 2035: a majority of EU critical-infrastructure and public-sector cybersecurity spend served by EU-controlled vendors; at least two European cyber platform champions of global scale; a self-sufficient talent pipeline; and a certified, end-to-end sovereign security stack available to every regulated entity.

Page 2 — What Likely Happens Without EU Support for Home-Grown Cyber Companies

1. Permanent strategic dependency. If the EU does not actively fund and protect its own vendors, the current trajectory hardens: US and Israeli platforms entrench their ~50%+ share of European spend, and the firewall/network layer — already led by Palo Alto, Fortinet, Cisco and Check Point — becomes effectively un-contestable. Europe's USD 83–121 bn 2030 market becomes a revenue stream that flows almost entirely out of the bloc, funding R&D and consolidation elsewhere.

2. The scale-up exodus continues. Without late-stage capital and guaranteed demand, promising European companies follow the established pattern: they are acquired by US strategic buyers or private equity (as Sophos and Darktrace were taken private by Thoma Bravo), or they relocate and list in the US. Europe keeps producing talented founders and good early-stage technology, but harvests none of the value, jobs or strategic control. The "valley of death" between EUR 100 m and 1 bn valuations remains fatal.

3. Sovereignty and security risk become tangible. Dependence on foreign-controlled security tooling means critical infrastructure, government and defence rely on vendors subject to non-EU jurisdictions (e.g. the US CLOUD Act, export controls, or abrupt policy shifts). In a geopolitical rupture, Europe would have limited ability to guarantee continuity, patching, or freedom from foreign access — the precise capability sovereignty is meant to secure. The CrowdStrike outage of July 2024 showed how a single foreign vendor's failure can cascade across an entire economy.

4. Regulation without industrial capacity backfires. NIS2, DORA and the Cyber Resilience Act will still mandate higher security spending. Without European suppliers to meet that demand, the mandates simply channel more money to incumbents — Europe pays the compliance bill while deepening its dependency. Regulation becomes a subsidy for foreign vendors rather than a springboard for domestic ones.

5. The talent gap worsens. Europe's best cyber professionals follow the capital and the platforms. With no domestic champions to employ them at scale, the ~299,000-person shortfall widens, brain-drain accelerates toward US employers, and the skills base needed for any future sovereignty push erodes further — making the problem progressively harder and more expensive to fix.

6. The cost of inaction compounds. Analysts behind the EuroStack proposal frame the EUR 300 bn investment as small relative to the long-run cost of dependency; critics' estimates of a fully sovereign stack run into the trillions precisely *because* delay raises the entry price. Each year without support means more lock-in, higher switching costs, and a larger eventual bill — while the strategic window narrows as AI-driven, post-quantum and cloud-native security architectures are defined largely outside Europe.

Bottom line: absent deliberate EU support, Europe does not stand still — it slides backwards. It remains a large, lucrative *consumer* of cybersecurity but loses the capacity to *produce* it, accepting structural dependency, exported value, a thinning talent base, and reduced strategic autonomy precisely as cyber risk and geopolitical tension rise. Sovereignty by 2035 is achievable, but only with capital, guaranteed demand, consolidation and skills acting together; the default path is continued, deepening dependence.